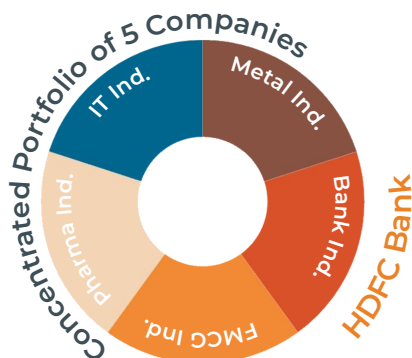


In a concentrated portfolio we'd have invested in just 5 companies, we would have been largely dependent on this stock and would've suffered huge losses.



What if 20% of our total investments were in the company. Now, our portfolio will lose 12% of its value due to a 60% decrease in the stock price!

HDFC Bank → 20%
Suffers 60% fall in price



Value of our portfolio falls by
12% (60% of 20%)

Analysis Now consider what would happen if the shares of the company jumped by **60%** as a result of certain **positive news**. In such a situation, a **concentrated portfolio** would have gained significantly more money, whereas a **diversified portfolio** would have gained only **1 to 2%** of our capital.

However, we will be risk cautious, minimize our risk, decent profits will follow, it will select good companies. This will also save us from any possible risk of Portfolio ruin as exposure to single stock is limited.

Institutional investors will have an in-depth understanding of each and every company. As a result, they can take large concentrated bets and select few companies, and get rewarded or penalised for their understanding, the time to cover the company from every possible angle.

Low dependence on individual stock

The next characteristic is to reduce the dependence on each specific stock, which is an extension of the previous characteristic.